

Principles of Management

Module 1

FUNCTIONS OF MANAGEMENT



Topics (Part 2)

Functions of management

1. Planning
2. Forecasting
3. Organizing
4. Staffing
5. Directing
6. Motivating
7. Controlling
8. Coordinating
9. Communicating
10. Decision making



1. Planning

- It is the most important and prerequisite of all the other functions.
- It is the process of establishing goals and suitable course of action to achieve that goals.
- It is done in **accordance with past events and forecasting events** in the future.
- Planning is *deciding in advance* what to do, how to do it, when to do it, and who is to do it.
- Planning *bridges the gap from where we are to where we want to go.*



Types of plans

- It consists of goals, policies, procedures, rules, strategies etc.
 - Plans made by top-level management may cover periods as long as five or ten years. (Strategic plans)
 - Middle level managers(Operational plans)
 - Lower level managers focus on short-range and day-to-day plans. (Tactical plans)

2. Forecasting

- It is defined as an estimate of future events, by systematically combining past and present data.
- It forms the basis of planning of activities of an organization.
- The survival of any manufacturing enterprise depends on its ability to assess, with reasonable accuracy, the market trends several years ahead.
- Forecasting begins with sales forecast and is followed by production forecast and forecast for costs, finance, purchase, profit etc.

TYPES

QUANTITATIVE FIN. FORECASTING

In the quantitative methods, the forecasters use past observations to generate forecasts.

Some of the quantitative methods are:

- ❖ Casual Methods
- ❖ Simple Linear and Multiple Regression
- ❖ Days Sales Technique
- ❖ Percentage of Sales Technique
- ❖ Time-series methods
- ❖ Financial Statements
- ❖ Projected Cash Flow and Fund Flow Stat
- ❖ Projected Income Stat. & Balance Sheet

QUALITATIVE FIN. FORECASTING

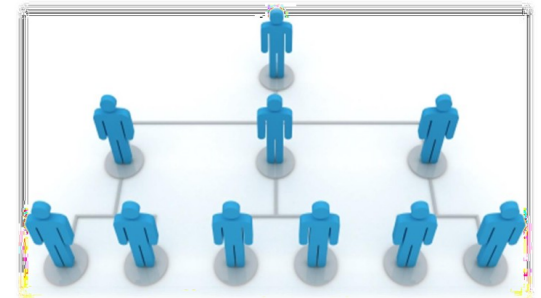
The qualitative methods use the non-quantifiable or non-measurable data for forecasting purpose.

Some of the qualitative methods are:

- ❖ Executive Opinions
- ❖ Market research
- ❖ Delphi method
- ❖ Reference Class Forecasting
- ❖ Scenario Writing
- ❖ Sales Force Polling

3. *Organizing*

- Organizing is the process of arranging and allocating work, authority, and resources among an organization's members so that they can achieve organization's goals.
- The process of organizing involves:
 1. *Identifying the works to be performed*
 2. *Classify the work or group the work*
 3. *Assigning activities to the groups or work to individuals*
 4. *Fixing responsibilities*
 5. *Deciding the hierarchy of authority*



4. *Staffing*

- The main purpose of staffing is to put right man on right job.
- It is a process of **filling or keeping filled** the various positions in the organizational structure.
- It involves:
 1. *Manpower Planning (estimating man power in terms of searching, choose the person and giving the right place)*
 2. *Recruitment, selection & placement*
 3. *Training & development.*
 4. *Remuneration*
 5. *Performance appraisal*
 6. *Promotions & transfer*

5. Directing

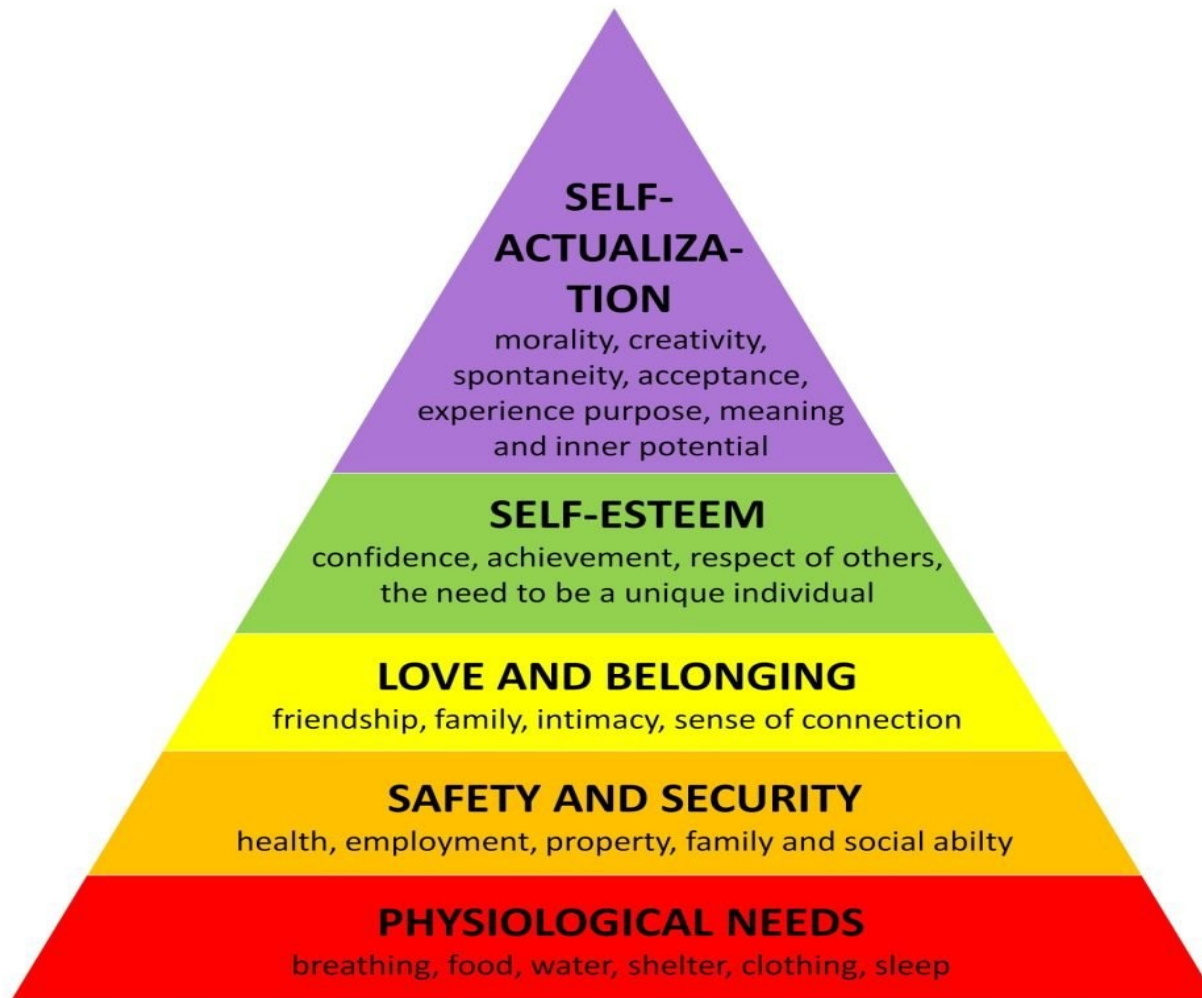
- Directing is said to be a process in which the managers instruct, guide and oversee the performance of the workers to achieve predetermined goals.
- Directing is said to be the heart of management process.
 - Planning, organizing, staffing has got no importance if direction does not take place.
- Directing initiates action and it is from here actual work starts.
- Therefore, Directing is guiding, inspiring, overseeing and instructing people towards accomplishment of organizational goals.

➤ It includes:

1. *Issuing orders that are clear, complete and within the capabilities of subordinates to accomplish.*
2. *Suggesting training activity in which subordinates are given instructions to enable them to carry out the particular assignment in the existing situation.*
3. *Maintaining discipline and rewarding those who perform well.*

6. Motivating

- It means inspiring people to intensify their desire and willingness to perform their duties effectively and co-operate for the achievement of common objectives of the business.
- Motivation is a human psychological characteristic.
- It pertains to various drives, desires, needs, wishes and other forces.
- Motivation is not easy to achieve and what a manager can try to do is to create a working climate in which all members may contribute to the limits of their ability.
- Motivational function provides a great deal of challenge to a manager. He must have the ability to identify the needs of his subordinates and the methods and techniques to satisfy those needs.



6. *Motivating*

➤ The key elements in such a work situation and its effect on the employee are known to be:

1. *The degree to which the employee feels his goals and those of the organization are similar.*
2. *The employee's relationships with his coworkers and especially with his supervisor.*
3. *The way in which his job helps him meet his needs for present income and future security and does so in a manner that seems fair.*
4. *The extend to which it enables him to feel adequate to his tasks and to gain a sense of accomplishment for jobs well done.*



7. *Controlling*

- Controlling is the process of ensuring that actual activities conform to plan activities. It measures the progress of operations and making sure that things are proceeding in the right direction as planned
- For the control to be effective, a system of communications or reports is required to inform the manager of the facts on which to base measurements, comparisons and corrective action.
- A great deal of the manager's time is involved in controlling
- It involves:



- 1. Establishing standards of performance.*
- 2. Measuring actual performance.*
- 3. Comparing actual performance to the established standards.*
- 4. Taking corrective action if deviations are detected.*

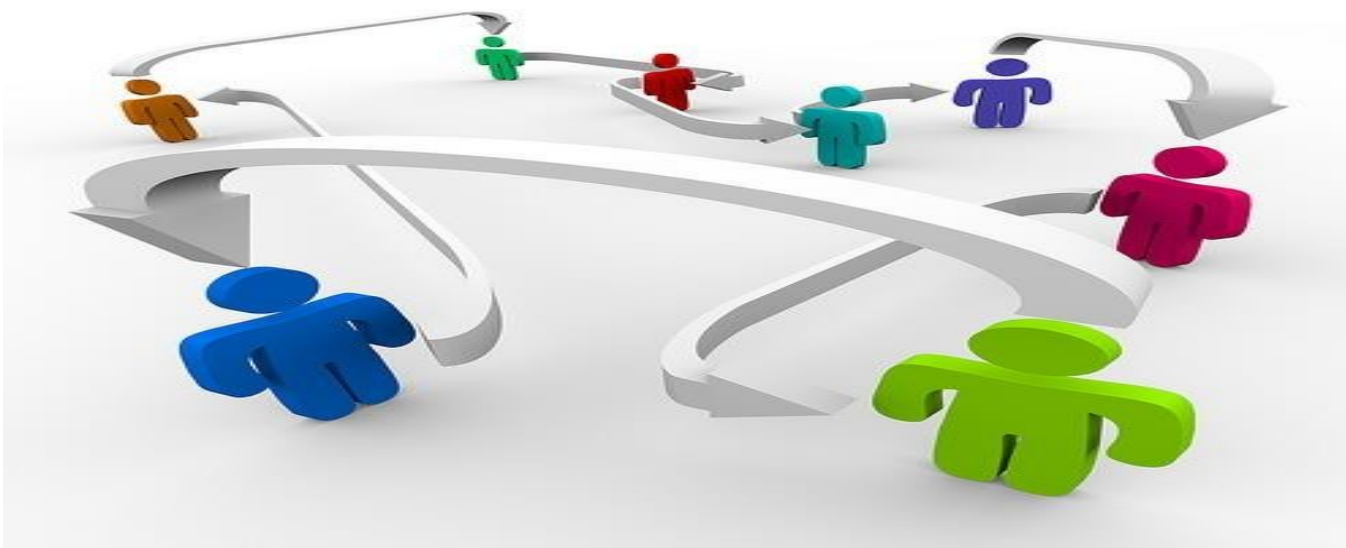
8. Coordinating

- Coordination is the process of integration of the activities of separate departments of an organization to accomplish organizational goals.
- It involves harmonizing the individual goals of the subordinates with the goals of the organization.
- Coordination is needed both up and down the organization structure and laterally as well.
- It can also occur among people working at different organizations.
- The extent of coordination depends on the nature of activities performed and the type of organization structure.



9. *Communicating*

- It's a process by which instructions, ideas, thoughts or information are transmitted, received and understood by persons working in organization.
- Methods of communication are:
 1. *Verbal or written communication*
 2. *Formal or informal communication*



10. Decision making

- Decision-making is the process of identifying and selecting a course of action from among alternatives.
- Decision-making is an important part of every manager's job and it requires all the skill and judgment a manager accumulates over the years.
- The manager constantly seeks to make correct decisions involving the use of the various types of resources at his disposal to attain the various objectives.
- A manager decides on the utilization of men, materials and machines to achieve such goals as quality, low cost, quick delivery, safety and so on.

